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Plug and Play, or Still Plugging In?

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Pakistan markets its Special Economic Zones as plug and play platforms for Chinese manufacturers looking to relocate. The marketing proposition has remained consistent for nearly a decade, while implementation has been uneven. This report focuses on a practical question for a Chinese manufacturer considering where to establish production: how far have the zones moved from designation and development into verifiable industrial activity, and what does that record imply for the much larger pipeline now being promoted under CPEC second phase?

1. Context

Nine Special Economic Zones, seven provincial and two federal, were identified as the industrial cornerstone of CPEC. The CPEC Secretariat confirms that four priority zones are at an advanced stage of development: Rashakai in Khyber Pakhtunkhwa, Allama Iqbal Industrial City in Punjab, Dhabeji in Sindh, and Bostan in Balochistan.[1] The intended model combines designated land with infrastructure, fiscal incentives and investor facilitation in order to support industrial development and attract local and foreign investment.

The record is more mixed when the focus shifts from designation to actual industrial activity. Rashakai covers about 1,000 acres, with its first phase of 247 acres developed and opened for investment. The CPEC Secretariat reports that numerous enterprises have been registered, while some have started construction of industrial units.[2]

Allama Iqbal Industrial City is much larger, at about 3,217 acres in the CPEC project record. Development began in 2019, and the official project page reports that a number of national and international enterprises have been allotted plots, with some companies constructing their industrial units.[3] More granular evidence is available from the Faisalabad Industrial Estate Development and Management Company. Its 2026 layout data identifies plots already in production as well as plots under construction, providing a more concrete picture of activity than a designation alone.[4]

Dhabeji illustrates the continuing importance of enabling infrastructure. The CPEC Secretariat records a 1,530 acre zone, a concession agreement in 2022 and groundbreaking in 2023, while development remains in progress.[5] Government of Sindh records also show continuing work on utility provision, including water infrastructure for the zone.[6]

Bostan presents a similar distinction between development milestones and operating depth. The CPEC Secretariat states that the zone received SEZ status in 2020, that development work on phase one covering 200 acres has been completed, and that phase one has been launched for allotment of industrial plots.[7] The official record therefore establishes a completed development milestone, but it does not by itself demonstrate the scale of producing industrial activity within the zone.

2. Analysis

The pattern across the four priority zones suggests that an audit of SEZ performance should distinguish between at least four stages: approval, infrastructure development, plot allotment and actual production. These are not interchangeable measures. A zone can be legally established and physically developed while still having a limited base of operating factories.

Rashakai illustrates this distinction clearly. Its official status records a developed first phase and registered enterprises, but the CPEC Secretariat also notes that only some enterprises have begun construction.[2] The practical question for an investor is therefore not whether the zone exists, but how quickly a serviced plot can become a functioning production facility.

Allama Iqbal Industrial City provides a stronger basis for independent assessment because the developer has published zone level plot information. The 2026 layout identifies 27 plots in production and 107 under construction, alongside vacant, newly saleable and undeveloped land.[4] Such information is materially more useful to an investor than a broad statement that a zone is operational or investment ready.

Dhabeji shows why the infrastructure question matters. The official CPEC record continues to describe development as in progress, while Sindh Economic Zones Management Company records procurement and technical work for water connections to the zone.[5,6] For an investor, the existence of a designated site is only one part of the decision. Reliable electricity, water, roads, customs access and other services determine whether production can actually begin on a predictable timetable.

The same principle applies to Bostan. The official record confirms that phase one development has been completed and launched for plot allotment, but the status description remains primarily development and allocation oriented rather than based on disclosed production volumes or occupancy by operating factories.[7] This is not an argument that the zone has no industrial potential. It is an argument that the evidence available to an outside investor should distinguish physical completion from industrial utilisation.

Against this backdrop, the expansion of the SEZ pipeline is significant. In January 2026 the Government of Pakistan reported that the number of approved SEZs had increased from seven to 44, with 37 new SEZs notified through the Board of Investment led process.[8] The scale of the expansion makes consistent reporting standards more important, not less. If each new zone is to compete for capital, investors need comparable information on land, utilities, plots, construction and actual production.

3. Implications

For a Chinese manufacturer evaluating Pakistan against alternative relocation destinations, official SEZ status should not be treated as a complete proxy for operational readiness. A more useful test is whether the prospective site can demonstrate usable infrastructure, clear land availability, access to essential services and evidence of existing industrial activity. The current official record shows progress in all four priority zones, but also shows that development and utilisation remain different measures.

There is also an information cost. When zone level occupancy, utility and production data are not published in a comparable form, investors must spend additional time verifying what a government designation actually means on the ground. The World Bank's assessment of SEZs in Pakistan similarly emphasised that zone performance depends on the quality of infrastructure, institutions, regulations and management rather than on designation alone.[9]

This matters even more as the pipeline expands. The Board of Investment currently presents SEZs within a broader framework of investment facilitation, incentives and industrial development, while the CPEC platform continues to identify the four priority zones as central projects.[10,1] A larger pipeline can create greater choice for investors, but it also increases the risk that administrative capacity and infrastructure funding are spread too thinly if performance is not monitored systematically.

4. The Way Forward

Two measures would materially strengthen the credibility of the SEZ programme. First, provincial investment authorities and the CPEC Secretariat should publish zone level operational dashboards at fixed intervals. These should report plots allotted, plots with construction underway, plots with producing tenants, electricity and water connections, road access and customs facilitation. This would turn the investor proposition from a collection of announcements into a comparable evidence base. The need for stronger operational monitoring is consistent with the Board of Investment's recent review of SEZ performance, which surveyed 35 zones and produced recommendations intended to improve operational efficiency.[11]

Second, companies considering the new SEZ pipeline should benchmark each proposed site against the most concrete evidence available from the existing zones. The relevant question should be whether infrastructure is functioning, whether plots can be taken into production on a defined timetable and whether the local administrative system can resolve routine operational issues. Pakistan does not need more promotional language to establish the attractiveness of its SEZ model. It needs a transparent, repeatable way to demonstrate that an announced industrial platform can actually support production.

About the Author

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